



CORPORATE STRATEGY

Session 2: Pricing strategies

Antoine MADELIN

TABLE OF CONTENT

- 1. RECAP ON SESSION 1 &
OBJECTIVES OF THE DAY**
2. PRICING STRATEGIES
3. CASE STUDY & GROUP EXERCISE

METHODOLOGY | MECE

Why MECE ?

Opportunities, Problems & Risks in companies

- Opportunities need general efforts
- Problems rarely have one single cause
- Risks:
 - Acting too fast often leads to **wrong decisions**
 - Managers may focus on symptoms instead of root causes



Consultants start by structuring the problem

- Understand what really drives performance
- Avoid missing important issues
- Focus on the most impactful levers

This is why we use **MECE** before analyzing data or proposing solutions.

METHODOLOGY | MECE

MECE : Mutually Exclusive, Collectively Exhaustive

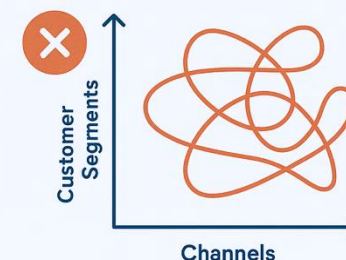
- **One Axis at a Time**
 - **Mutually Exclusive**
 - Each category answers a different question
 - No overlap between categories
 - **Collectively Exhaustive**
 - All categories together cover 100% of the problem
- **Mini-example:**

Not MECE → *Price cuts, E-commerce, Product mix* (mixed axes).
 MECE → *Price, Volume, Product Mix, Unit Cost* (single axis: margin drivers).

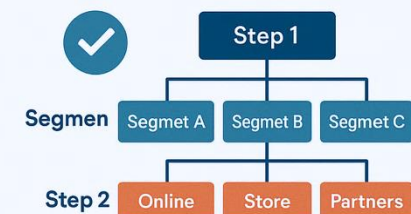
 - **Quick test:** Can an item fit two buckets? Any gap? If yes → **re-slice on one axis.**

Don't mix axes – MECE

Wrong: mixed axes
(not MECE)



Right: one axis per level
(MECE)



One criterion per level. Cover 100% with no overlap.

METHODOLOGY | MECE



METHODOLOGY | How to diagnosis a situation?

- SWOT

Objectives: Snap a situation and decide where to play & how to win.

When to use: new market entry, annual planning, turnaround, due diligence, benchmark.

Internal factors

- **Strengths:** what the company does well (capabilities, assets, brand, employees etc.).
- **Weaknesses:** internal limits or problems (skills, cost, process, perception, tools etc.)

External factors

- **Opportunities:** positive market trends (market growth, tech, regulation etc.).
- **Threats:** external risks and constraints (competitors, substitutes, shocks) etc.



SWOT **describes** the situation
SWOT **does not tell you what to do**

CASE | UBER SWOT

Make the SWOT of Uber in Europe.

Uber

Strengths (S)	Weaknesses (W)
Opportunities (O)	Threats (T)

CASE | UBER SWOT

Uber

Strengths (S)	Weaknesses (W)
Strong global brand and scale Large urban customer base Real-time data (demand, traffic, location) Advanced pricing and matching algorithms	Thin margins Dependence on independent drivers Social and public image issues Legal complexity around labor status
Opportunities (O)	Threats (T)
Growing urban mobility needs Data-driven and dynamic pricing capabilities Subscription models (Uber One) Sustainable mobility (electric vehicles, green offers)	Strong labor and platform regulation (EU / France) Potential reclassification of drivers Competition from scooters, bikes, public transport Political and reputational pressure

METHODOLY | From SWOT to TOWS

Objectives: Transform analysis into concrete strategies.

TOWS Quadrant	Combination	Strategic Objective	What It Means	Typical Strategic Levers
SO - Offensive strategies	Strengths × Opportunities	Grow & create value	Use internal strengths to fully capture favorable market opportunities	Innovation, premium pricing, differentiation, expansion, new offers, brand leverage
WO - Corrective strategies	Weaknesses × Opportunities	Fix structural weaknesses	Use market opportunities to reduce internal limitations	Pricing redesign, process optimization, cost reduction, capability building
ST - Defensive strategies	Strengths × Threats	Protect the business	Use strengths to absorb or neutralize external threats	Segmentation, data-driven pricing, compliance, risk management, differentiation
WT - Survival strategies	Weaknesses × Threats	Limit downside risk	Reduce exposure in hostile environments and avoid value destruction	Activity reduction, exit low-margin segments, simplification, strict cost control

CASE | UBER TOWS

Complete the TOWS of Uber from the precedent SWOT.

TOWS Logic	Strategic Question (Aristote)	Concrete Examples (Uber France)
SO - Offensive strategies	How can Uber use its strengths to fully capture market opportunities?	
WO - Corrective strategies	How can Uber reduce its weaknesses by using market opportunities?	
ST - Defensive strategies	How can Uber use its strengths to mitigate external threats?	
WT - Survival strategies	How can Uber limit risks in a worst-case scenario?	

CASE | UBER TOWS

TOWS Logic	Strategic Question (Aristote)	Concrete Examples (Uber France)
SO - Offensive strategies	How can Uber use its strengths to fully capture market opportunities?	• Dynamic pricing beyond surge (time, zone, demand) • Uber One subscription to increase customer lifetime value • Uber Green positioned as a premium, value-based offer
WO - Corrective strategies	How can Uber reduce its weaknesses by using market opportunities?	• Minimum fare to protect margins • Better driver allocation to reduce idle time • Shift value capture to subscriptions and peak pricing
ST - Defensive strategies	How can Uber use its strengths to mitigate external threats?	• Data-driven compliance (pricing transparency)
WT - Survival strategies	How can Uber limit risks in a worst-case scenario?	• Exit or limit low-margin zones • Focus on fewer but more profitable trips • Use pricing to filter demand (not maximize volume)

METHODOLOGY | BENCHMARK

Definition: Benchmarking = the process of comparing a company's practices, products, or performance with the best in class (competitors, industry leaders, or standards).

Competitive benchmarking

Compare with direct competitors

Example:

- Adidas vs Nike / Puma

Functional benchmarking

Compare with companies from other industries

Example:

- Fnac-Darty vs Sephora
- Décathlon / Carrefour

Internal benchmarking

Compare within the same company (between teams, sites, etc.)

Example:

- Michelin

METHODOLOGY | BENCHMARK

1

Define the benchmark target

- Direct competitors (same offering)
- Indirect alternatives (substitutes)
- Industry leaders

2

Select comparison dimensions

- Price
- Quality / service level
- Features and benefits
- Distribution and convenience

3

Collect data

- Public data (e.g. scrapping, Customer reviews & ratings)
- Industry reports (McKinsey, Statista, Xerfi etc.)
- Mystery shopping / mystery call
- Expert call

4

Analyze insights

- Clusters and outliers
- Value gaps
- Potential repositioning

METHODOLOGY | BENCHMARK UBER

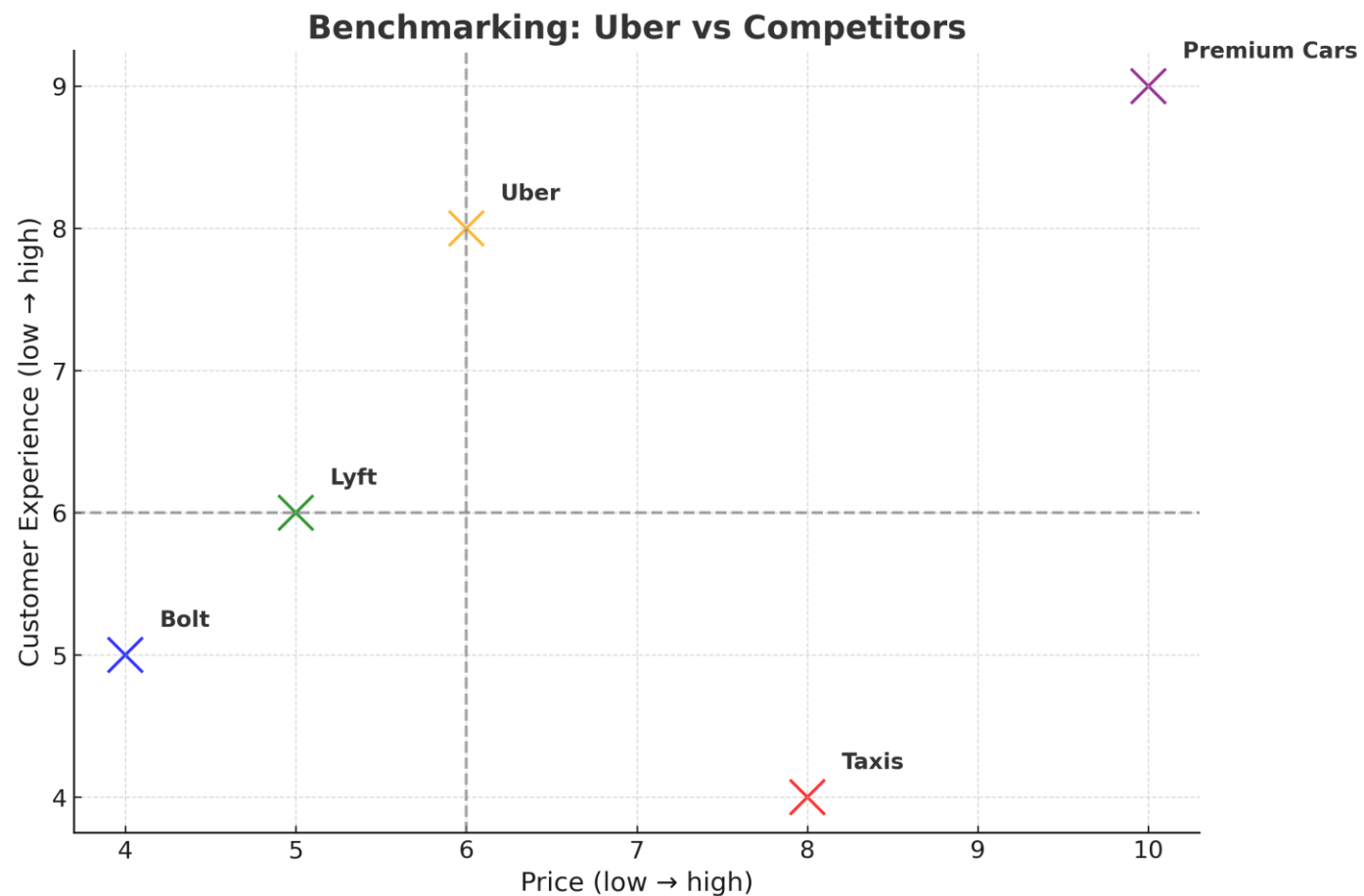


TABLE OF CONTENT

1. RECAP ON SESSION 3 & OBJECTIVES
OF THE DAY
2. **PRICING STRATEGIES**
3. CASE STUDY & GROUP EXERCISE

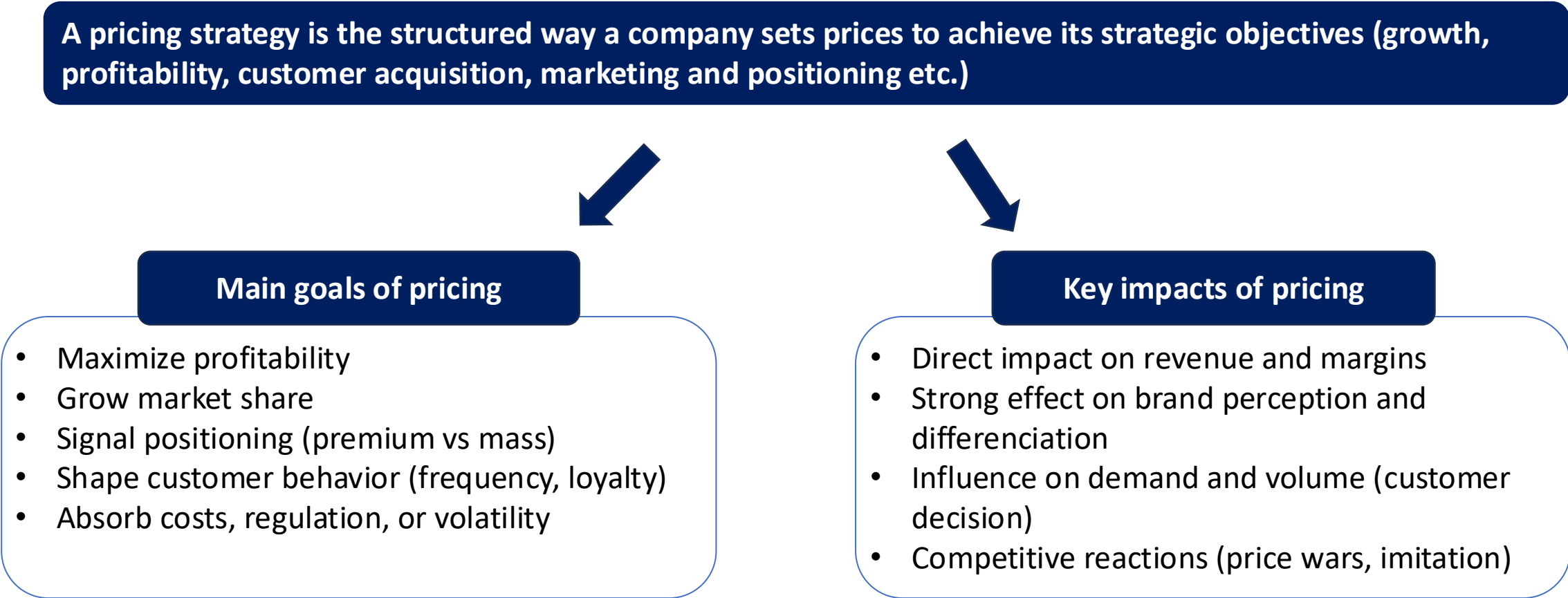
PRICING | WHAT IS PRICING?

Why can two similar products have very different prices?

Is lowering prices always a good way to grow?

PRICING | WHAT IS PRICING?

A pricing strategy is the structured way a company sets prices to achieve its strategic objectives (growth, profitability, customer acquisition, marketing and positioning etc.)



Main goals of pricing

- Maximize profitability
- Grow market share
- Signal positioning (premium vs mass)
- Shape customer behavior (frequency, loyalty)
- Absorb costs, regulation, or volatility

Key impacts of pricing

- Direct impact on revenue and margins
- Strong effect on brand perception and differentiation
- Influence on demand and volume (customer decision)
- Competitive reactions (price wars, imitation)

PRICING | PRICING STRATEGY COULD NOT BE ISOLATED FROM THE OTHER DECISIONS

Together, the 4Ps define the value proposition (McCarthy).

- **Product**
What is offered to the customer: features, quality, design, reliability, service level
- **Place**
Where and how the product is accessed: physical stores, online, delivery speed, availability
- **Price**
What the customer gives up: money, time, effort, risk
- **Promotion**
How the value proposition is communicated: advertising, branding, messaging, discounts

PRICING | PRICING STRATEGY IS DEPENDANT ON THE MARKET STRUCTURE

Market Structure	Description	Pricing Implications
Perfect competition	Many sellers, identical products (e.g. commodities)	No pricing power → firms are <i>price takers</i>
Monopoly	One seller, no close substitute	Strong pricing power, constrained by demand & regulation
Oligopoly	Few large players	Strategic pricing, reactions from competitors
Monopolistic competition	Many sellers, differentiated products	Some pricing power through differentiation

PRICING | TYPE OF PRICING STRATEGIES

Cost-Based Pricing

- Price = production cost + markup
- Ensures margin but may ignore market value and demand elasticities

Common in manufacturing and stable cost environments

Competition-Based Pricing

- Price set relative to competitor prices
- Useful when offerings are similar and comparison is easy

Works in mature, transparent markets

Value-Based Pricing (or Demand based)

- Price based on perceived value to the customer
- Captures willingness to pay
- Supported by economic value to the customer (EVC) frameworks (Forbis & Mehta)

Price Skimming & Penetration

- **Skimming:** High initial price → lower later (recover innovation cost)
- **Penetration:** Low initial price → gain market share quickly

Psychological & Decoy Pricing

- Use price cues to influence perceived value (e.g., "\$9.99")
- Adds cognitive framing to pricing decisions

PRICING | DYNAMIC PRICING AND REVENUE MANAGEMENT

Prices change in real time based on supply, demand, customer behavior, time, location, or product configuration.

Dynamic pricing uses **data + algorithms** to respond to market fluctuations and maximize revenue.

- Airline & hotel yield management
- Surge pricing in mobility apps
- Time-of-day / inventory-based pricing

AIRFRANCE 

Booking.com

Uber

PRICING | TAXICO CASE



TaxiCo is a global ride-hailing company. In Vietnam, it faces strong competition:

- RideJoy: “premium” positioning (higher prices, better experience)
- VietCo: aggressive entrant (low prices to win market share)

TaxiCo wants to launch TaxiCo Basics:
smaller cars → lower fuel consumption → lower cost base.

Your mission: recommend a launch price per trip.

Data :

- Trips per day: 18
- Working days per month: 22
- TaxiCo price (current): 85k VND
- RideJoy price (premium): 88k VND
- VietCo price (aggressive): 75k VND

Cost item	Amount / month (k VND)
Fuel	15,840
Car rental	4,000
Highway fees	1,980
Other	1,100
Driver salary	4,500
Total	27,420

1. What is the cost per trip (break-even) for TaxiCo Basics? What price per trip gives TaxiCo a 20% margin on top of cost?

2. TaxiCo considers 2 launch prices, what's the best?

Option A: 75k VND (match VietCo); Option B: 90k VND (closer to premium)

Using elasticity (-1.2), estimate: expected trips per month under each option and monthly profit per driver under each option

Profit = (Price × Trips) – Total monthly cost.

E= price variation (%) / demand variation (%)